

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY FINANCIAL
STATEMENTS AND INDEPENDENT AUDITORS’
REPORT
DECEMBER 31, 2022 AND 2021

For the convenience of readers and for information purpose only, the auditors’ report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors’ report and financial statements shall prevail.

INDEPENDENT AUDITORS' REPORT TRANSLATED FROM CHINESE

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Opinion

We have audited the accompanying parent company only balance sheet of JOCHU TECHNOLOGY CO., LTD. (the "Company") as at December 31, 2022, and the related parent company only statements of comprehensive income, of changes in equity and of cash flows for the year then ended, and notes to the parent company only financial statements, including a summary of significant accounting policies.

In our opinion, based on our audit and the report of other auditors (refer to the Other matter section), the accompanying parent company only financial statements present fairly, in all material respects, the parent company only financial position of the Company as at December 31, 2022, and its parent company only financial performance and its parent company only cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission.

Basis for opinion

We conducted our audit in accordance with the Regulations Governing Auditing and Attestation of Financial Statements by Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the parent company only financial statements* section of our report. We are independent of the Company in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company's 2022 parent company only financial statements. These matters were addressed in the context of our audit of the parent company only financial statements as a whole and, in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matters for the Company's 2022 parent company only financial statements are stated as follows:

Key audit matter – Existence of sales to specific customers

Description

There is a significant audit risk associated with revenue recognition in accordance with the auditing standards. The Company's sales revenue is concentrated mainly in its top ten customers. As sales revenue from top ten customers is material to the parent company only financial statements for the year ended December 31, 2022, we considered the existence of sales revenue from top ten customers as the key audit matter.

How our audit addressed the matter

We performed the following audit procedures on the above key audit matter:

1. We obtained an understanding, assessed and tested the effectiveness of the design and implementation of the internal control system related to revenue recognition.
2. We obtained details of sales revenue from top ten customers for the year ended December 31, 2022, sampled the related transactions against the original orders, delivery notes, invoices and other related documents and verified the amount to ensure the existence of revenue.
3. We obtained details of sales returns and discounts from top ten customers after the balance sheet date, and sampled the sales returns and discounts against related documents and examined the reasonableness of the reasons for returns and discounts.

Other matter – Scope of the audit

The parent company only financial statements of the Company as at and the year ended December 31, 2021 were audited by other auditors, whose report dated February 25, 2022 expressed an unqualified opinion with emphasis of matter paragraph relating to the accrual of income tax expense for the year ended December 31, 2020.

Other matter – Reference to the audit of other auditors

We did not audit the financial statements of an investment accounted for under the equity method which were audited by other auditors. Therefore, our opinion expressed herein, insofar as it relates to the amounts included in respect of this associate, is based solely on the report of the other auditors. The balance of this investment accounted for under the equity method amounted to NT\$8,442 thousand, constituting 0.22% of total assets as at December 31, 2022, and the comprehensive income recognised from the associate accounted for under the equity method amounted to (NT\$2,751) thousand, constituting (21.15%) of the total comprehensive income for the year then ended.

Responsibilities of management and those charged with governance for the parent company only financial statements

Management is responsible for the preparation and fair presentation of the parent company only financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission, and for such internal control as management determines is necessary to enable the preparation of parent company only financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the parent company only financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including audit committee, are responsible for overseeing the Company's financial reporting process.

Auditors' responsibilities for the audit of the parent company only financial statements

Our objectives are to obtain reasonable assurance about whether the parent company only financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these parent company only financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the parent company only financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the parent company only financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the parent company only financial statements, including the disclosures, and whether the parent company only financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the parent company only financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the parent company only financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Liao, Fu-Ming

For and on Behalf of PricewaterhouseCoopers, Taiwan

February 23, 2023

Hsu, Sheng-Chung

The accompanying parent company only financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying parent company only financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

As the financial statements are the responsibility of the management, PricewaterhouseCoopers cannot accept any liability for the use of, or reliance on, the English translation or for any errors or misunderstandings that may derive from the translation.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY BALANCE SHEETS
DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)

Assets		Notes	December 31, 2022		December 31, 2021	
			AMOUNT	%	AMOUNT	%
Current assets						
1100	Cash and cash equivalents	6(1)	\$ 434,836	11	\$ 799,356	18
1110	Financial assets at fair value through profit or loss - current	6(2)	2,475	-	408	-
1136	Financial assets at amortised cost - current	6(4) and 8	-	-	10,000	-
1150	Notes receivable, net	6(5)	3,431	-	3,926	-
1170	Accounts receivable, net	6(5)	175,706	5	109,196	3
1180	Accounts receivable - related parties, net		25	-	6	-
1200	Other receivables		6,158	-	5,459	-
1210	Other receivables - related parties	7	-	-	10,000	-
1220	Current income tax assets		56,141	2	55,946	2
130X	Inventories	6(6)	128,477	3	127,321	3
1410	Prepayments		8,395	-	11,363	-
1470	Other current assets		7,319	-	6,397	-
11XX	Total current assets		822,963	21	1,139,378	26
Non-current assets						
1510	Non-current financial assets at fair value through profit or loss	6(2)	12,460	1	-	-
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	-	-	11,700	-
1550	Investments accounted for under equity method	6(7)	2,369,182	62	2,516,623	58
1600	Property, plant and equipment	6(8) and 8	572,069	15	641,536	15
1755	Right-of-use assets	6(9)	3,540	-	14,700	-
1760	Investment property, net	6(10)	43,618	1	43,748	1
1840	Deferred income tax assets	6(27)	9,131	-	6,542	-
1975	Net defined benefit asset - non-current	6(15)	9,999	-	8,159	-
1990	Other non-current assets	8	4,134	-	5,956	-
15XX	Total non-current assets		3,024,133	79	3,248,964	74
1XXX	Total assets		\$ 3,847,096	100	\$ 4,388,342	100

(Continued)

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY BALANCE SHEETS
DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)

Liabilities and Equity			December 31, 2022		December 31, 2021			
			Notes	AMOUNT	%	AMOUNT	%	
Current liabilities								
2100	Short-term borrowings	6(11)	\$	55,000	2	\$	295,000	7
2130	Contract liabilities - current	6(20) and 7		3,141	-		493	-
2170	Accounts payable	6(12)		129,400	3		193,269	4
2180	Accounts payable to related parties	7		7,158	-		4,536	-
2200	Other payables	6(13)		86,050	2		130,435	3
2220	Other payables to related parties	7		249	-		-	-
2280	Lease liabilities - current			893	-		11,547	-
2320	Long-term liabilities - current	6(14)		61,800	2		40,371	1
2399	Other current liabilities			1,741	-		1,702	-
21XX	Total current liabilities			345,432	9		677,353	15
Non-current liabilities								
2540	Long-term borrowings	6(14)		407,200	10		469,000	11
2570	Deferred income tax liabilities	6(27)		293,604	8		346,056	8
2580	Lease liabilities - non-current			2,668	-		3,391	-
2600	Other non-current liabilities			5,236	-		5,476	-
25XX	Total non-current liabilities			708,708	18		823,923	19
2XXX	Total liabilities			1,054,140	27		1,501,276	34
Equity								
	Share capital	6(16)						
3110	Ordinary share			892,631	23		892,631	20
	Capital surplus	6(17)						
3200	Capital surplus			1,728,746	45		1,728,746	40
	Retained earnings	6(18)						
3310	Legal reserve			143,906	4		126,142	3
3320	Special reserve			423,294	11		385,192	9
3350	(Accumulated deficit) unappropriated retained earnings		(	32,785)	(1)		177,648	4
	Other equity interest	6(19)						
3400	Other equity interest		(	362,836)	(9)	(	423,293)	(10)
3XXX	Total equity			2,792,956	73		2,887,066	66
	Significant contingent liabilities and unrecognised contract commitments	9						
	Significant events after the balance sheet date	11						
3X2X	Total liabilities and equity		\$	3,847,096	100	\$	4,388,342	100

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF COMPREHENSIVE INCOME
YEARS ENDED DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars, except for (loss) earnings per share amount)

		Year ended December 31			
Items	Notes	2022		2021	
		AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(20) and 7	\$ 1,055,141	100	\$ 1,288,795	100
5000 Operating costs	6(6)(25)(26) and 7	(960,527)	(91)	(1,145,132)	(89)
5900 Gross profit from operations		94,614	9	143,663	11
5910 Unrealised loss from sales		(813)	-	(3,803)	-
5920 Realised profit from sales		4,183	-	4,965	-
5950 Gross profit		97,984	9	144,825	11
Operating expenses	6(25)(26) and 7				
6100 Selling and marketing expenses		(41,645)	(4)	(41,392)	(3)
6200 Genral and administrative expenses		(189,193)	(18)	(223,200)	(18)
6300 Research and development expenses		(36,886)	(3)	(26,459)	(2)
6000 Total operating expenses		(267,724)	(25)	(291,051)	(23)
6900 Net operating loss		(169,740)	(16)	(146,226)	(12)
Non-operating income and expenses					
7100 Interest income	6(21) and 7	2,242	-	2,821	-
7010 Other income	6(22) and 7	39,105	4	43,721	3
7020 Other gains and losses	6(23)	(15,676)	(1)	(5,437)	-
7050 Finance costs	6(24)	(8,503)	(1)	(14,736)	(1)
7070 Share of profit of subsidiaries and associates accounted for under equity method	6(7)	87,853	8	292,159	23
7000 Total non-operating income and expenses		105,021	10	318,528	25
7900 (Loss) profit before income tax		(64,719)	(6)	172,302	13
7950 Income tax benefit	6(27)	15,479	1	5,210	1
8200 (Loss) profit for the year		<u>(\$ 49,240)</u>	<u>(5)</u>	<u>\$ 177,512</u>	<u>14</u>
Other comprehensive income (loss)					
Components of other comprehensive income that will not be reclassified to profit or loss					
8311 Gains on remeasurements of defined benefit plan	6(15)	\$ 1,789	-	\$ 136	-
8316 Unrealised losses on valuation of equity investments at fair value through other comprehensive income	6(3)	-	-	(8,890)	(1)
Components of other comprehensive income that will be reclassified to profit or loss					
8361 Financial statements translation differences of foreign operations	6(7)	60,457	6	(29,211)	(2)
8300 Other comprehensive income (loss) for the year		<u>\$ 62,246</u>	<u>6</u>	<u>(\$ 37,965)</u>	<u>(3)</u>
8500 Total comprehensive income for the year		<u>\$ 13,006</u>	<u>1</u>	<u>\$ 139,547</u>	<u>11</u>
(Loss) earnings per share (in dollars)					
9750 Basic (loss) earnings per share	6(28)	<u>(\$ 0.55)</u>		<u>\$ 1.99</u>	
9850 Diluted (loss) earnings per share		<u>(\$ 0.55)</u>		<u>\$ 1.97</u>	

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CHANGES IN EQUITY
YEARS ENDED DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)

				Retained Earnings			Other Equity Interest		
	Notes	Share capital ordinary share	Capital surplus	Legal reserve	Special reserve	(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised losses from financial assets at fair value through other comprehensive income	Total equity
<u>Year ended December 31, 2021</u>									
Balance at January 1, 2021		\$ 892,631	\$ 1,835,843	\$ 236,708	\$ 398,910	(\$ 124,284)	(\$ 365,882)	(\$ 19,310)	\$ 2,854,616
Profit for the year		-	-	-	-	177,512	-	-	177,512
Other comprehensive income (loss) for the year		-	-	-	-	136	(29,211)	(8,890)	(37,965)
Total comprehensive income (loss)		-	-	-	-	177,648	(29,211)	(8,890)	139,547
Appropriations of 2020 earnings:	6(18)								
Legal reserve used to cover accumulated deficit		-	-	(110,566)	-	110,566	-	-	-
Reversal of special reserve		-	-	-	(13,718)	13,718	-	-	-
Issuance of cash dividends from capital surplus	6(17)	-	(107,116)	-	-	-	-	-	(107,116)
Changes in ownership interests in subsidiaries	6(17)	-	19	-	-	-	-	-	19
Balance at December 31, 2021		\$ 892,631	\$ 1,728,746	\$ 126,142	\$ 385,192	\$ 177,648	(\$ 395,093)	(\$ 28,200)	\$ 2,887,066
<u>Year ended December 31, 2022</u>									
Balance at January 1, 2022		\$ 892,631	\$ 1,728,746	\$ 126,142	\$ 385,192	\$ 177,648	(\$ 395,093)	(\$ 28,200)	\$ 2,887,066
Loss for the year		-	-	-	-	(49,240)	-	-	(49,240)
Other comprehensive income for the year		-	-	-	-	1,789	60,457	-	62,246
Total comprehensive income (loss)		-	-	-	-	(47,451)	60,457	-	13,006
Appropriations of 2021 earnings:	6(18)								
Legal reserve		-	-	17,764	-	(17,764)	-	-	-
Special reserve		-	-	-	38,102	(38,102)	-	-	-
Cash dividends		-	-	-	-	(107,116)	-	-	(107,116)
Balance at December 31, 2022		\$ 892,631	\$ 1,728,746	\$ 143,906	\$ 423,294	(\$ 32,785)	(\$ 334,636)	(\$ 28,200)	\$ 2,792,956

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2022	2021
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>			
(Loss) profit before tax		(\$ 64,719)	\$ 172,302
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(25)	71,840	81,744
Depreciation charges on right-of-use assets	6(9)(25)	4,588	14,847
Depreciation charges on investment property	6(10)(25)	130	65
Amortisation charges	6(25)	11,511	10,825
Interest income	6(21)	(2,242)	(2,821)
Gain on disposal of property, plant, and equipment	6(23)	-	(198)
Gain on lease modification	6(23)	(211)	-
Loss (gain) on financial assets at fair value through profit or loss	6(23)	7,282	(2,365)
Impairment loss (gain on reversal) of property, plant, and equipment	6(8)(23)	10,903	(98)
Impairment loss of investments accounted for under equity method	6(23)	507	-
Interest expense	6(24)	8,503	14,736
Share of profit of subsidiaries and associates accounted for under equity method	6(7)	(87,853)	(292,159)
Unrealised profit from sales		813	3,803
Realised profit from sales		(4,183)	(4,965)
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		495	(3,926)
Accounts receivable, net		(66,511)	87,709
Accounts receivable - related parties, net		(19)	(6)
Other receivables		(634)	777
Other receivables - related parties		10,000	-
Inventories		(1,156)	(7,820)
Other current assets		(9,465)	(6,477)
Net defined benefit asset		(51)	(40)
Changes in operating liabilities			
Contract liabilities - current		2,648	166
Accounts payable		(63,869)	(41,902)
Accounts payable to related parties		2,622	(4,247)
Other payables		(41,493)	3,168
Other payables to related parties		249	-
Other current liabilities		39	(98)
Other non-current liabilities		(240)	218
Cash (outflow) inflow generated from operations		(210,516)	21,684
Interest received		2,177	2,817
Interest paid		(8,566)	(15,138)
Income tax paid		(39,757)	(81,120)
Net cash flows used in operating activities		(256,662)	(71,757)

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JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)

	Notes	Year ended December 31	
		2022	2021
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Proceeds from disposal of financial assets at amortised cost		\$ 10,000	\$ -
(Increase) decrease in financial assets at fair value through profit or loss		(21,809)	3,112
Acquisition of financial assets at fair value through other comprehensive income		-	(11,700)
Acquisition of investments accounted for under equity method	6(7)	(50,000)	(123,294)
Return of capital from investments accounted under equity method	6(7)	-	330,979
Acquisition of property, plant, and equipment	6(29)	(13,552)	(26,693)
Proceeds from disposal of property, plant, and equipment		-	198
Acquisition of right-of-use assets		-	(6,260)
(Increase) decrease in guarantee deposits paid		(651)	2,285
Acquisition of investment property	6(10)	-	(43,813)
Decrease in prepayments for equipment		-	6,030
Dividends received	6(7)	360,314	421,109
Net cash flows from investing activities		<u>284,302</u>	<u>551,953</u>
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		830,000	4,572,000
Repayments of short-term borrowings		(1,070,000)	(5,375,000)
Proceeds from long-term borrowings		-	358,000
Repayments of long-term borrowings		(40,371)	(90,372)
Increase in guarantee deposits received	6(30)	-	200
Payments of lease liabilities	6(30)	(4,673)	(116,125)
Cash dividends paid	6(17)(18)	(107,116)	(107,116)
Net cash flows used in financing activities		(392,160)	(758,413)
Net decrease in cash and cash equivalents		(364,520)	(278,217)
Cash and cash equivalents at beginning of year		799,356	1,077,573
Cash and cash equivalents at end of year		<u>\$ 434,836</u>	<u>\$ 799,356</u>

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
NOTES TO THE PARENT COMPANY ONLY FINANCIAL STATEMENTS
FOR THE YEARS ENDED DECEMBER 31, 2022 AND 2021

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company is primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These parent company only financial statements were authorised for issuance by the Board of Directors on February 23, 2023.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2022 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IFRS 3, ‘Reference to the conceptual framework’	January 1, 2022
Amendments to IAS 16, ‘Property, plant and equipment: proceeds before intended use’	January 1, 2022
Amendments to IAS 37, ‘Onerous contracts-cost of fulfilling a contract’	January 1, 2022
Annual improvements to IFRS Standards 2018-2020	January 1, 2022

The above standards and interpretations have no significant impact to the Company’s financial condition and financial performance based on the Company’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Company

New standards, interpretations and amendments endorsed by the FSC effective from 2023 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IAS 1, 'Disclosure of accounting policies'	January 1, 2023
Amendments to IAS 8, 'Definition of accounting estimates'	January 1, 2023
Amendments to IAS 12, 'Deferred tax related to assets and liabilities arising from a single transaction'	January 1, 2023

The above standards and interpretations have no significant impact to the Company's financial condition and financial performance based on the Company's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
Amendments to IFRS 16, 'Lease liability in a sale and leaseback'	January 1, 2024
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendment to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Amendments to IAS 1, 'Classification of liabilities as current or non-current'	January 1, 2024
Amendments to IAS 1, 'Non-current liabilities with covenants'	January 1, 2024

The above standards and interpretations have no significant impact to the Company's financial condition and financial performance based on the Company's assessment.

4. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these parent company only financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

The parent company only financial statements of the Company have been prepared in accordance with the “Regulations Governing the Preparation of Financial Reports by Securities Issuers.

(2) Basis of preparation

- A. Except for the following items, the parent company only financial statements have been prepared under the historical cost convention:
 - (a) Financial instruments at fair value.
 - (b) Defined benefit assets recognised based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the parent company only financial statements are disclosed in Note 5.

(3) Foreign currency translation

Items included in the parent company only financial statements are measured using the currency of the primary economic environment in which the Company operates (the “functional currency”). The parent company only financial statements are presented in New Taiwan dollars, which is the Company’s functional and presentation currency.

A. Foreign currency transactions and balances

- (a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognised in profit or loss in the period in which they arise.
- (b) Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognised in profit or loss.
- (c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.

- (d) All foreign exchange gains and losses are presented in the statement of comprehensive income within 'other gains and losses'.

B. Translation of foreign operations

The operating results and financial position of all the group entities, associates and joint arrangements that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (a) Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;
- (b) Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and
- (c) All resulting exchange differences are recognised in other comprehensive income.

(4) Classification of current and non-current items

A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:

- (a) Assets arising from operating activities that are expected to be realised, or are intended to be sold or consumed within the normal operating cycle;
- (b) Assets held mainly for trading purposes;
- (c) Assets that are expected to be realised within twelve months from the balance sheet date;
- (d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities more than twelve months after the balance sheet date.

B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:

- (a) Liabilities that are expected to be settled within the normal operating cycle;
- (b) Liabilities arising mainly from trading activities;
- (c) Liabilities that are to be settled within twelve months from the balance sheet date;
- (d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(5) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(6) Financial assets at fair value through profit or loss

- A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortised cost or fair value through other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognised and derecognised using trade date accounting.
- C. At initial recognition, the Company measures the financial assets at fair value and recognises the transaction costs in profit or loss. The Company subsequently measures the financial assets at fair value, and recognises the gain or loss in profit or loss.

(7) Financial assets at fair value through other comprehensive income

- A. Financial assets at fair value through other comprehensive income comprise equity securities which are not held for trading, and for which the Company has made an irrevocable election at initial recognition to recognise changes in fair value in other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognised and derecognised using trade date accounting.
- C. At initial recognition, the Company measures the financial assets at fair value plus transaction costs. The Company subsequently measures the financial assets at fair value:
The changes in fair value of equity investments that were recognised in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognised as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Company and the amount of the dividend can be measured reliably.

(8) Financial assets at amortised cost

- A. Financial assets at amortised cost are those that meet all of the following criteria:
 - (a) The objective of the Company's business model is achieved by collecting contractual cash flows.
 - (b) The assets' contractual cash flows represent solely payments of principal and interest.
- B. On a regular way purchase or sale basis, financial assets at amortised cost are recognised and derecognised using trade date accounting.
- C. At initial recognition, the Company measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. A gain or loss is recognised in profit or loss when the asset is derecognised or impaired.
- D. The Company's time deposits which do not fall under cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(9) Notes and accounts receivable

- A. Notes and accounts receivable entitle the Company a legal right to receive consideration in exchange for transferred goods or rendered services.
- B. The short-term notes and accounts receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(10) Impairment of financial assets

For financial assets at amortised cost including accounts receivable that have a significant financing component, at each reporting date, the Company recognises the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognises the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable or contract assets that do not contain a significant financing component, the Company recognises the impairment provision for lifetime ECLs.

(11) Derecognition of financial assets

The Company derecognises a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

(12) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted-average method. The cost of finished goods and work in progress comprises raw materials, direct labor, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated costs necessary to make the sale.

(13) Investments accounted for under equity method / subsidiaries and associates

- A. Subsidiaries are entities controlled by the Company. The Company controls the entity when the Company is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.
- B. All unrealised profit or loss resulting from transactions between the Company and its subsidiaries have been eliminated in full. Accounting policies of subsidiaries have been adjusted when necessary in order to be consistent with those of the Company.
- C. The Company's share of profit or loss in subsidiaries after acquisition is recognised in profit or loss, whereas its share of other comprehensive income in subsidiaries after acquisition is recognised in other comprehensive income. If the Company's share of loss in a subsidiary exceeds its share of equity in such a subsidiary, the Company continues to recognise losses in its shareholding percentage.

- D. Associates are all entities over which the Company has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20 percent or more of the voting power of the investee. Investments in associates are accounted for using the equity method and are initially recognised at cost.
- E. The Company's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. When the Company's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Company does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.
- F. When changes in an associate's equity do not arise from profit or loss or other comprehensive income of the associate and such changes do not affect the Company's ownership percentage of the associate, the Company recognises the Company's share of change in equity of the associate in 'capital surplus' in proportion to its ownership.
- G. Unrealised gains on transactions between the Company and its associates are eliminated to the extent of the Company's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Company.
- H. When the Company disposes its investment in an associate and loses significant influence over this associate, the amounts previously recognised in other comprehensive income in relation to the associate, are reclassified to profit or loss, on the same basis as would be required if the relevant assets or liabilities were disposed of. If it retains significant influence over this associate, the amounts previously recognised in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately in accordance with the aforementioned approach.
- I. According to Regulations Governing the Preparation of Financial Reports by Securities Issuers, the profit or loss of the period and other comprehensive income presented in parent company only financial statements shall be the same as the allocations of profit or loss of the period and of other comprehensive income attributable to owners of the parent presented in the financial statements prepared on a consolidated basis, and the owners' equity presented in the parent company only financial statements shall be the same as the equity attributable to owners of the parent presented in the financial statements prepared on a consolidated basis.

(14) Property, plant and equipment

- A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalised.
- B. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.
- C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.
- D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	8 years ~ 36 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	3 years
Leasehold improvements	5 years
Other equipment	3 years ~ 4 years

(15) Leasing arrangements (lessee) — right-of-use assets / lease liabilities

- A. Leases are recognised as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Company. For short-term leases or leases of low-value assets, lease payments are recognised as an expense on a straight-line basis over the lease term.
- B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate. Lease payments are comprised of fixed payments, less any lease incentives receivable. The Company subsequently measures the lease liability at amortised cost using the interest method and recognises interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognised as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.

- C. At the commencement date, the right-of-use asset is stated at cost comprising the amount of the initial measurement of lease liability. The right-of-use asset is measured subsequently using the cost model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognised as an adjustment to the right-of-use asset.
- D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognise the difference in profit or loss.

(16) Investment property

An investment property is stated initially at its cost and measured subsequently using the cost model. Except for land, investment property is depreciated on a straight-line basis over its estimated useful life of 28.5 years.

(17) Impairment of non-financial assets

The Company assesses at each balance sheet date the recoverable amounts of those assets where there is an indication that they are impaired. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. When the circumstances or reasons for recognising impairment loss for an asset in prior years no longer exist or diminish, the impairment loss is reversed. The increased carrying amount due to reversal should not be more than what the depreciated or amortised historical cost would have been if the impairment had not been recognised.

(18) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.

(19) Notes and accounts payable

- A. Accounts payable are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.
- B. The short-term notes and accounts payable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(20) Derecognition of financial liabilities

A financial liability is derecognised when the obligation specified in the contract is either discharged or cancelled or expires.

(21) Non-hedging and embedded derivatives

Non-hedging derivatives are initially recognised at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognised in profit or loss.

(22) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognised as expense in that period when the employees render service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions are recognised as pension expense when they are due on an accrual basis. Prepaid contributions are recognised as an asset to the extent of a cash refund or a reduction in the future payments.

(b) Defined benefit plans

- i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Company in current period or prior periods. The liability recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The net defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.
- ii. Remeasurements arising on the defined benefit plan are recognised in other comprehensive income in the period in which they arise and are recorded as retained earnings.
- iii. Past service costs are recognised immediately in profit or loss.

C. Employees' compensation and directors' and supervisors' remuneration

Employees' compensation and directors' and supervisors' remuneration are recognised as expense and liability, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is paid by shares, the Company calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(23) Income tax

- A. The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or items recognised directly in equity, in which cases the tax is recognised in other comprehensive income or equity.
- B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.
- C. Deferred tax is recognised, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.
- D. Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised. At each balance sheet date, unrecognised and recognised deferred tax assets are reassessed.
- E. Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realise the asset and settle the liability simultaneously.

(24) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or stock options are shown in equity as a deduction, net of tax, from the proceeds.

(25) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(26) Revenue recognition

- A. The Company manufactures and sells optoelectronic components, medical devices, and metal furniture. Sales are recognised when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Company has objective evidence that all criteria for acceptance have been satisfied.
- B. Revenue from these sales is recognised based on the price specified in the contract, net of the estimated sales return, discounts, and allowances. Revenue is only recognised to the extent that it is highly probable that a significant reversal will not occur. The estimation is subject to an assessment at each reporting date. A refund liability is recognised for expected sales return, discounts, and allowances payable to customers in relation to sales made until the end of the reporting period.
- C. A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The preparation of these parent company only financial statements requires management to make critical judgments in applying the Company's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year; and the related information is addressed below:

(1) Critical judgments in applying the Company's accounting policies

None.

(2) Critical accounting estimates and assumptions

Evaluation of inventories

As inventories are stated at the lower of cost and net realisable value, the Company must determine the net realisable value of inventories on balance sheet date using judgments and estimates. Due to the rapid technology innovation, the Company evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date,

and writes down the cost of inventories to the net realisable value. Such an evaluation of inventories is principally based on the net realisable value of the products within the specified period in the future.

Therefore, there might be material changes to the evaluation.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Cash on hand and petty cash	\$ 150	\$ 150
Checking accounts and demand deposits	211,846	159,206
Time deposits	222,840	640,000
	<u>\$ 434,836</u>	<u>\$ 799,356</u>

A. The Company transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Company has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	<u>\$ 2,475</u>	<u>\$ 408</u>
Non-current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Private equity fund	\$ 12,000	\$ -
Valuation adjustment	460	-
	<u>\$ 12,460</u>	<u>\$ -</u>

A. Amounts recognised in profit or loss in relation to financial assets at fair value through profit or loss are listed below:

	<u>Years ended December 31,</u>	
	<u>2022</u>	<u>2021</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	(\$ 7,742)	\$ 2,365
Private equity fund	460	-
	<u>(\$ 7,282)</u>	<u>\$ 2,365</u>

- B. The Company entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

Derivative financial instruments	December 31, 2022	
	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy NTD	USD 3,810	2023.01.10~2023.03.10
Derivative financial instruments	December 31, 2021	
	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy NTD	USD 3,340	2022.01.10~2022.04.08

The Company entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Company had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Company transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income

Items	December 31, 2022	December 31, 2021
Non-current items:		
Equity instruments		
Unlisted stocks		
I Company	\$ 28,200	\$ 28,200
eBio International Co., Ltd.	-	11,700
	28,200	39,900
Valuation adjustment	(28,200)	(28,200)
	\$ -	\$ 11,700

- A. The Company has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at December 31, 2022 and 2021, the fair value of such investments were the same as the book value.
- B. For the years ended December 31, 2022 and 2021, the amounts recognised in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are \$0 and \$8,890, respectively.

C. Information relating to the change of eBio International Co., Ltd. is provided in Note 6(7).

D. The Company had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortised cost

Items	December 31, 2022	December 31, 2021
Current item:		
Restricted assets	\$ -	\$ 10,000

A. Amounts recognised in profit or loss in relation to financial assets at amortised cost are listed below:

	Years ended December 31,	
	2022	2021
Interest income	\$ 81	\$ 121

B. As at December 31, 2022 and 2021, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortised cost held by the Company was the book value at the balance sheet date.

C. Details of the Company's financial assets at amortised cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Company's investments in certificates of deposits are financial institutions with high credit quality, so the Company expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	December 31, 2022	December 31, 2021
Notes receivable	\$ 3,431	\$ 3,926
Accounts receivable	\$ 175,706	\$ 109,196

A. As at December 31, 2022 and 2021, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2021, the balance of receivables from contracts with customers amounted to \$196,905.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

	December 31, 2022		December 31, 2021	
	Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	\$ 3,431	\$ 151,121	\$ 3,926	\$ 102,703
Up to 90 days	-	24,585	-	6,493
	<u>\$ 3,431</u>	<u>\$ 175,706</u>	<u>\$ 3,926</u>	<u>\$ 109,196</u>

The above ageing analysis was based on past due date.

C. As at December 31, 2022 and 2021, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Company's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Inventories

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Raw materials	\$ 27,800	\$ 34,750
Work in progress	37,592	31,314
Finished goods	<u>85,961</u>	<u>71,499</u>
	151,353	137,563
Less: Allowance for valuation loss	(22,876)	(10,242)
	<u>\$ 128,477</u>	<u>\$ 127,321</u>

The cost of inventories recognised as expense for the year:

	<u>Years ended December 31,</u>	
	<u>2022</u>	<u>2021</u>
Cost of inventories sold	\$ 961,343	\$ 1,157,977
Loss on decline in market value	12,634	3,648
Loss on disposal of inventory	375	906
Revenue from sale of scraps	(13,825)	(17,399)
	<u>\$ 960,527</u>	<u>\$ 1,145,132</u>

(7) Investments accounted for under equity method

	<u>2022</u>	<u>2021</u>
At January 1	\$ 2,516,623	\$ 2,881,289
Addition of investments accounted for under equity method	61,700	123,312
Return of capital from investments accounted for under equity method	-	(330,979)
Share of profit of investments accounted for under equity method	87,853	292,159
Investments accounted for under equity method impairment loss	(507)	-
Earnings distribution of investments accounted for under equity method	(360,314)	(421,109)
Changes in other equity items (Note 6(19))	60,457	(29,211)
Others	<u>3,370</u>	<u>1,162</u>
At December 31	<u>\$ 2,369,182</u>	<u>\$ 2,516,623</u>

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Subsidiaries		
JOCHU INVESTMENT LTD. (JOCHU BVI)	\$ 2,312,527	\$ 2,511,301
LEGIUN Technology Co., Ltd. (LEGIUN)	48,213	5,322
Associate		
eBio International Co., Ltd.	8,442	-
	<u>\$ 2,369,182</u>	<u>\$ 2,516,623</u>

A. Subsidiaries

- (a) For information on the Company's subsidiaries, refer to Note 4(3) in the 2022 consolidated financial statements.
- (b) The Company invested \$123,294 (US\$4,349 thousand) in JOCHU BVI in 2021.
- (c) The Company received from JOCHU BVI the share in capital reduction of \$330,979 (US\$11,730 thousand) and the earnings distribution of \$421,109 (US\$15,034 thousand) in 2021.
- (d) The Company invested \$50,000 in LEGIUN in 2022.
- (e) The Company received from JOCHU BVI the earnings distribution of \$360,314 (US\$11,474 thousand) in 2022.

B. Associates

- (a) The Company obtained a seat on the board of eBio International Co., Ltd. on February 14, 2022. As a result of the election, the Company hereafter has significant influence over eBio International Co., Ltd., and accordingly, the investment account was transferred from the financial assets at fair value through other comprehensive income of \$11,700 to investments accounted for under equity method.
- (b) On December 31, 2022, the Company assessed the recoverable amount of its equity interest in eBio International Co., Ltd., by comparing the historical average profit or loss of the industry and the historical profit or loss of comparable companies, and used the operating revenue completion percentage in calculating the fair value of the investment as the recoverable amount. Based on the result of aforementioned assessment, the Company recognised impairment loss on its investment accounted for under equity method amounting to \$507 for the year ended December 31, 2022.
- (c) The share of loss of investment accounted for under equity method in eBio International Co., Ltd. was (\$2,751) for the year ended December 31, 2022, which was recognised based solely on the audit report of other independent auditors.

(8) Property, plant and equipment

	2022							
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Total
At January 1								
Cost	\$273,059	\$ 469,251	\$ 569,852	\$ 5,133	\$ 7,695	\$ 12,807	\$ 90,818	\$1,428,615
Accumulated depreciation	-	(217,394)	(443,148)	(5,002)	(6,425)	(9,754)	(86,748)	(768,471)
Accumulated impairment	-	(14,674)	(3,934)	-	-	-	-	(18,608)
	<u>\$273,059</u>	<u>\$ 237,183</u>	<u>\$ 122,770</u>	<u>\$ 131</u>	<u>\$ 1,270</u>	<u>\$ 3,053</u>	<u>\$ 4,070</u>	<u>\$ 641,536</u>
Opening net book amount as at January 1	\$273,059	\$ 237,183	\$ 122,770	\$ 131	\$ 1,270	\$ 3,053	\$ 4,070	\$ 641,536
Additions	-	-	4,617	-	735	870	7,054	13,276
Depreciation charge	-	(20,513)	(45,866)	(131)	(945)	(1,197)	(3,188)	(71,840)
Impairment loss	-	-	(10,903)	-	-	-	-	(10,903)
Closing net book amount as at December 31	<u>\$273,059</u>	<u>\$ 216,670</u>	<u>\$ 70,618</u>	<u>\$ -</u>	<u>\$ 1,060</u>	<u>\$ 2,726</u>	<u>\$ 7,936</u>	<u>\$ 572,069</u>
At December 31								
Cost	\$273,059	\$ 469,251	\$ 574,469	\$ 5,133	\$ 8,430	\$ 13,677	\$ 97,872	\$1,441,891
Accumulated depreciation	-	(237,907)	(489,014)	(5,133)	(7,370)	(10,951)	(89,936)	(840,311)
Accumulated impairment	-	(14,674)	(14,837)	-	-	-	-	(29,511)
	<u>\$273,059</u>	<u>\$ 216,670</u>	<u>\$ 70,618</u>	<u>\$ -</u>	<u>\$ 1,060</u>	<u>\$ 2,726</u>	<u>\$ 7,936</u>	<u>\$ 572,069</u>

	2021							
	<u>Land</u>	<u>Buildings and structures</u>	<u>Machinery and equipment</u>	<u>Transportation equipment</u>	<u>Office equipment</u>	<u>Leasehold improvements</u>	<u>Other equipment</u>	<u>Total</u>
At January 1								
Cost	\$ 152,000	\$ 462,012	\$ 558,199	\$ 5,133	\$ 7,279	\$ 11,805	\$ 87,754	\$ 1,284,182
Accumulated depreciation	-	(196,615)	(391,832)	(4,544)	(5,458)	(8,620)	(83,978)	(691,047)
Accumulated impairment	-	(14,674)	(4,032)	-	-	-	-	(18,706)
	<u>\$ 152,000</u>	<u>\$ 250,723</u>	<u>\$ 162,335</u>	<u>\$ 589</u>	<u>\$ 1,821</u>	<u>\$ 3,185</u>	<u>\$ 3,776</u>	<u>\$ 574,429</u>
Opening net book amount as at January 1	\$ 152,000	\$ 250,723	\$ 162,335	\$ 589	\$ 1,821	\$ 3,185	\$ 3,776	\$ 574,429
Additions	-	7,239	15,973	-	416	1,002	3,064	27,694
Reclassifications	121,059	-	-	-	-	-	-	121,059
Depreciation charge	-	(20,779)	(55,636)	(458)	(967)	(1,134)	(2,770)	(81,744)
Reversal of impairment loss	-	-	98	-	-	-	-	98
Closing net book amount as at December 31	<u>\$ 273,059</u>	<u>\$ 237,183</u>	<u>\$ 122,770</u>	<u>\$ 131</u>	<u>\$ 1,270</u>	<u>\$ 3,053</u>	<u>\$ 4,070</u>	<u>\$ 641,536</u>
At December 31								
Cost	\$ 273,059	\$ 469,251	\$ 569,852	\$ 5,133	\$ 7,695	\$ 12,807	\$ 90,818	\$ 1,428,615
Accumulated depreciation	-	(217,394)	(443,148)	(5,002)	(6,425)	(9,754)	(86,748)	(768,471)
Accumulated impairment	-	(14,674)	(3,934)	-	-	-	-	(18,608)
	<u>\$ 273,059</u>	<u>\$ 237,183</u>	<u>\$ 122,770</u>	<u>\$ 131</u>	<u>\$ 1,270</u>	<u>\$ 3,053</u>	<u>\$ 4,070</u>	<u>\$ 641,536</u>

- A. Amount of borrowing costs capitalised as part of property, plant and equipment and the range of the interest rates for such capitalisation: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 3~8 years, respectively.
- C. The Company has estimated that the expected future cash flows of certain machinery and equipment used in the production of products in 2022 will decrease resulting in a recoverable amount which is less than the book value. Accordingly, the Company recognised an impairment loss of \$10,903.
- D. In 2021, the Company reused the machinery and equipment previously assessed as impaired and reversed the previously recognised impairment loss of \$98.
- E. The abovementioned impairment loss and reversal of loss were included under other gains and losses in the parent company only statement of comprehensive income.
- F. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

(9) Leasing arrangements — lessee

- A. The Company leases various assets including buildings and business vehicles, and rental contracts are typically made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount	
	December 31, 2022	December 31, 2021
Buildings	\$ -	\$ 10,468
Business vehicles	3,540	4,232
	<u>\$ 3,540</u>	<u>\$ 14,700</u>
	Depreciation charge	
	Years ended December 31,	
	2022	2021
Buildings	\$ 3,685	\$ 14,658
Business vehicles	903	-
Multifunction printers	-	189
	<u>\$ 4,588</u>	<u>\$ 14,847</u>

- D. For the years ended December 31, 2022 and 2021, the additions to right-of-use assets were \$733 and \$12,701, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Years ended December 31,	
	2022	2021
<u>Items affecting profit or loss</u>		
Interest expense on lease liabilities	\$ 79	\$ 864
Expense on short-term lease contracts	14,282	3,938
Expense on leases of low-value assets	32	32
Gain on lease modification	211	-

F. For the years ended December 31, 2022 and 2021, the Company's total cash outflow for leases were \$18,987 and \$120,095, respectively.

G. The Company modified and terminated lease contracts before expiration. Consequently, the Company wrote off the related right-of-use assets and lease liabilities, and recognised gain on lease modification of \$211.

H. The Company leased land from the Tainan Science and Technology Industrial Park for business use. On December 21, 2020, the Company's board of directors resolved to apply for permit from the Tainan Science and Technology Industrial Park to use the land for science and technology industry factory. In the first quarter of 2021, the Company obtained the approval letter from the Tainan Science and Technology Park and paid the remaining lease payments amounting to \$93,480. In May 2021, the land use rights were transferred to the Company, and the right-of-use assets were transferred to property, plant and equipment.

(10) Investment property

	2022		
	Land	Buildings	Total
At January 1			
Cost	\$ 40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment	-	(65)	(65)
	<u>\$ 40,084</u>	<u>\$ 3,664</u>	<u>\$ 43,748</u>
Opening net book amount as at January 1	\$ 40,084	\$ 3,664	\$ 43,748
Depreciation charge	-	(130)	(130)
Closing net book amount as at December 31	<u>\$ 40,084</u>	<u>\$ 3,534</u>	<u>\$ 43,618</u>
At December 31			
Cost	\$ 40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment	-	(195)	(195)
	<u>\$ 40,084</u>	<u>\$ 3,534</u>	<u>\$ 43,618</u>

	2021		
	Land	Buildings	Total
Opening net book amount as at January 1	\$ -	\$ -	\$ -
Additions — from acquisitions	40,084	3,729	43,813
Depreciation charge	-	(65)	(65)
Closing net book amount as at December 31	<u>\$ 40,084</u>	<u>\$ 3,664</u>	<u>\$ 43,748</u>

At December 31

Cost	\$ 40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment	<u>-</u>	<u>(65)</u>	<u>(65)</u>
	<u>\$ 40,084</u>	<u>\$ 3,664</u>	<u>\$ 43,748</u>

- A. In 2021, the Company purchased an office in Neihu, Taipei and leased it to LEGIUN Technology Co., Ltd.; the asset was recognised as investment property. The lease term is three years, with the option to extend the lease term. When exercising the lease renewal right, the lessee agrees to adjust the rent according to the market rent situation. At the end of the lease term, the lessee does not have the preferential right to purchase the property.
- B. Rental income from investment property and direct operating expenses arising from investment property are shown below:

	Years ended December 31,	
	2022	2021
Rental income from investment property	<u>\$ 1,160</u>	<u>\$ 580</u>
Direct operating expenses arising from the investment property that generated rental income during the year	<u>\$ 130</u>	<u>\$ 65</u>

The total amount of lease payments to be collected in the future from the leasing of the investment property is as follows:

	December 31, 2022	December 31, 2021
Within 1 year	\$ 1,117	\$ 1,218
1 - 2 years	<u>-</u>	<u>1,117</u>
	<u>\$ 1,117</u>	<u>\$ 2,335</u>

- C. The fair value as of December 31, 2022 and 2021 was \$44,700 and \$44,000, respectively, which has not been evaluated by an independent evaluator and was measured only by the Company's management using a valuation model commonly used by market participants based on level 3 input values. The real estate transaction prices in the area have not changed significantly in 2022 and 2021, and the evaluation was based on the market evidence of similar real estate transaction prices.

(11) Short-term borrowings

Type of borrowings	December 31, 2022	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	\$ 55,000	1.55%	None
Type of borrowings	December 31, 2021	Interest rate range	Collateral
Bank borrowings			
Secured borrowings	\$ 35,000	1.15%~1.20%	Financial assets at amortised cost - current
Unsecured borrowings	260,000	1.10%~1.20%	None
	\$ 295,000		

(12) Accounts payable

	December 31, 2022	December 31, 2021
Accounts payable	\$ 123,313	\$ 186,377
Estimated accounts payable	6,087	6,892
	\$ 129,400	\$ 193,269

(13) Other payables

	December 31, 2022	December 31, 2021
Salaries and bonus payable	\$ 53,447	\$ 62,890
Insurance payable	5,808	6,659
Freights charges payable	2,554	5,163
Repairs and maintenance payable	2,086	3,464
Consumption fee payable	1,068	1,437
Mold cost payable	969	763
Packing payable	528	1,132
Interest payable	211	354
Equipment payable	-	2,173
Construction payable	-	577
Employees' compensation and directors' remuneration payable	-	25,746
Others	19,379	20,077
	\$ 86,050	\$ 130,435

(14) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate</u>	<u>Collateral</u>	<u>December 31, 2022</u>
Installment-repayment borrowings				
Secured borrowings				
CTBC Bank Co., Ltd.	Borrowing period is from June 24, 2020 to June 28, 2024; principal is payable in 13 semi-annual intallments one year after the drawdown; interest is payable monthly.	2.10%	Land and buildings	\$ 111,000
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.60%	Land and buildings	263,000
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.60%	Land and buildings	37,000
Unsecured borrowings				
O-Bank Co., Ltd.	Borrowing period is from April 6, 2021 to March 1, 2028; the grace period is 3 years, after which the principal is payable in 9 semi-annual installments; interest is payable monthly.	1.70%	None	58,000
				469,000
Less: Current portion				(61,800)
				<u>\$ 407,200</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate</u>	<u>Collateral</u>	<u>December 31, 2021</u>
Installment-repayment borrowings				
Secured borrowings				
CTBC Bank Co., Ltd.	Borrowing period is from June 24, 2020 to June 28, 2024; principal is payable in 13 semi-annual installments one year after the drawdown; interest is payable monthly.	1.22%	Land and buildings	\$ 122,800
CTBC Bank Co., Ltd.	Borrowing period is from September 7, 2018 to September 7, 2022; principal is payable in 7 semi-annual installments one year after the drawdown; interest is payable monthly.	1.22%	Machinery and equipment	28,571
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	263,000
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	37,000
Unsecured borrowings				
O-Bank Co., Ltd.	Borrowing period is from April 6, 2021 to March 1, 2028; the grace period is 3 years, after which the principal is payable in 9 semi-annual installments; interest is payable monthly.	1.19%	None	58,000
				509,371
Less: Current portion				(40,371)
				<u>\$ 469,000</u>

(15) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) The amounts recognised in the balance sheet are as follows:

	December 31, 2022	December 31, 2021
Present value of defined benefit obligations	(\$ 6,024)	(\$ 6,614)
Fair value of plan assets	16,023	14,773
Net defined benefit asset	<u>\$ 9,999</u>	<u>\$ 8,159</u>

- (c) Movements in net defined benefit assets are as follows:

	2022		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 6,614)	\$ 14,773	\$ 8,159
Interest (expense) income	(41)	92	51
	(6,655)	14,865	8,210
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,158	1,158
Change in financial assumptions	359	-	359
Experience adjustments	272	-	272
	631	1,158	1,789
At December 31	<u>(\$ 6,024)</u>	<u>\$ 16,023</u>	<u>\$ 9,999</u>

	2021		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 6,532)	\$ 14,515	\$ 7,983
Interest (expense) income	(32)	72	40
	(6,564)	14,587	8,023
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	186	186
Change in financial assumptions	(105)	-	(105)
Experience adjustments	55	-	55
	(50)	186	136
At December 31	(\$ 6,614)	\$ 14,773	\$ 8,159

(d) The Bank of Taiwan was commissioned to manage the Fund of the Company's defined benefit pension plan in accordance with the Fund's annual investment and utilisation plan and the "Regulations for Revenues, Expenditures, Safeguard and Utilisation of the Labor Retirement Fund" (Article 6: The scope of utilisation for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitisation products, etc.). With regard to the utilisation of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks. If the earnings is less than aforementioned rates, government shall make payment for the deficit after being authorised by the Regulator. The Company has no right to participate in managing and operating that fund and hence the Company is unable to disclose the classification of plan assets fair value in accordance with IAS 19 paragraph 142. The composition of fair value of plan assets as of December 31, 2022 and 2021 is given in the Annual Labor Retirement Fund Utilisation Report announced by the government.

(e) The principal actuarial assumptions used were as follows:

	Years ended December 31,	
	2022	2021
Discount rate	1.375%	0.625%
Future salary increases	3%	3%

i. Assumptions regarding future mortality experience are set based on actuarial advice in accordance with 2021 Taiwan Standard Ordinary Experience Mortality Table.

- ii. Because the main actuarial assumption changed, the present value of defined benefit obligation is affected. The analysis was as follows:

	Discount rate		Future salary increases	
	Increase	Decrease	Increase	Decrease
	0.25%	0.25%	0.25%	0.25%
<u>December 31, 2022</u>				
Effect on present value of defined benefit obligation	(\$ 113)	\$ 116	\$ 112	(\$ 110)
<u>December 31, 2021</u>				
Effect on present value of defined benefit obligation	(\$ 138)	\$ 142	\$ 137	(\$ 134)

- iii. The sensitivity analysis above is based on one assumption which changed while the other conditions remain unchanged. In practice, more than one assumption may change all at once. The method of analysing sensitivity and the method of calculating net pension liability in the balance sheet are the same.

- iv. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period.

- (f) The Company has acquired the approval from the Hsinchu County Government to suspend its contribution to the defined benefit pension plan for 2023 and 2022.

- (g) As of December 31, 2022 and 2021, the weighted average duration of the retirement plan is 7.6 and 8.4 years, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company has established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company contributes monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

- (b) The pension costs under the defined contribution pension plan of the Company for the years ended December 31, 2022 and 2021 were \$12,638 and \$13,263, respectively.

(16) Share capital

- A. As of December 31, 2022, the Company’s authorised capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.
- B. As at December 31, 2022 and 2021, the Company’s ordinary shares outstanding are both 89,263 thousand shares.

(17) Capital surplus

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Share premium	\$ 1,612,472	\$ 1,612,472
From business combinations	31,797	31,797
Treasury share transactions	76,571	76,571
Changes in ownership interests in subsidiaries	7,906	7,906
	<u>\$ 1,728,746</u>	<u>\$ 1,728,746</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. The appropriation of capital surplus as of December 31, 2020 amounting to \$107,116 (\$1.2 per share) had been resolved at the annual shareholders' meeting on July 16, 2021.
- C. For information on the changes in ownership interests in subsidiaries, refer to Note 6(28) in the 2022 consolidated financial statements.

(18) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorised to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarised below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

- (a) The 2020 deficit compensation was resolved at the annual shareholders' meeting on July 16, 2021. The Company used legal reserve to cover accumulated deficit in the amount of \$110,566 and reversed special reserve in the amount of \$13,718.
- (b) The appropriations of 2021 earnings had been resolved at the annual shareholders' meeting on May 27, 2022. Details are summarised below:

	2021	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 17,764	
Special reserve	38,102	
Cash dividends	107,116	\$ 1.20

(19) Other equity items

	2022		
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 395,093)	(\$ 423,293)
Currency translation differences:			
–Group	-	60,457	60,457
At December 31	(\$ 28,200)	(\$ 334,636)	(\$ 362,836)

	2021		
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 19,310)	(\$ 365,882)	(\$ 385,192)
Revaluation	(8,890)	-	(8,890)
Currency translation differences:			
–Group	-	(29,211)	(29,211)
At December 31	(\$ 28,200)	(\$ 395,093)	(\$ 423,293)

(20) Operating revenue

A. Disaggregation of revenue from contracts with customers

The Company derives revenue from the transfer of goods at a point in time in the following major product lines:

	Years ended December 31,	
	2022	2021
Revenue from contracts with customers		
Metal furniture	\$ 805,030	\$ 1,001,905
Medical device	193,267	252,444
Optoelectronic component	56,844	34,446
	<u>\$ 1,055,141</u>	<u>\$ 1,288,795</u>

B. Contract liabilities

(a) The Company has recognised the following revenue-related contract liabilities:

	December 31, 2022	December 31, 2021	January 1, 2021
Contract liabilities:	<u>\$ 3,141</u>	<u>\$ 493</u>	<u>\$ 327</u>

(b) Revenue recognised that was included in the contract liability balance at the beginning of the year is summarised below:

	Years ended December 31,	
	2022	2021
Revenue recognised	<u>\$ 493</u>	<u>\$ -</u>

(21) Interest income

	Years ended December 31,	
	2022	2021
Interest income from bank deposits	\$ 2,135	\$ 2,681
Interest income from financial assets at amortised cost	81	121
Other interest income	26	19
	<u>\$ 2,242</u>	<u>\$ 2,821</u>

(22) Other income

	Years ended December 31,	
	2022	2021
Royalty income	\$ 35,367	\$ 39,796
Solar revenue	2,056	2,100
Rent income	1,353	951
Other income	329	874
	<u>\$ 39,105</u>	<u>\$ 43,721</u>

(23) Other gains and losses

	Years ended December 31,	
	2022	2021
Gain on disposal of property, plant and equipment	\$ -	\$ 198
Gain on lease modification	211	-
Foreign exchange gains (losses)	2,827	(1,260)
(Loss) gain on financial assets at fair value through profit or loss	(7,282)	2,365
(Impairment loss) gain on reversal of property, plant, and equipment	(10,903)	98
Impairment loss on investments accounted for under equity method	(507)	-
Compensation loss	-	(6,800)
Miscellaneous disbursements	(22)	(38)
	<u>(\$ 15,676)</u>	<u>(\$ 5,437)</u>

(24) Finance costs

	Years ended December 31,	
	2022	2021
Interest expense from bank borrowings	\$ 8,424	\$ 13,872
Interest expense from lease liabilities	79	864
	<u>\$ 8,503</u>	<u>\$ 14,736</u>

(25) Expenses by nature

	Years ended December 31,	
	2022	2021
Employee benefit expense	\$ 312,504	\$ 372,137
Depreciation charges on property, plant and equipment	71,840	81,744
Depreciation charges on right-of-use assets	4,588	14,847
Depreciation charges on investment properties	130	65
Amortisation charges on molds	11,511	10,825

(26) Employee benefit expense

	Years ended December 31,	
	2022	2021
Wages and salaries	\$ 260,664	\$ 316,583
Labour and health insurance fees	26,503	28,253
Pension costs	12,587	13,223
Other personnel expenses	12,750	14,078
	<u>\$ 312,504</u>	<u>\$ 372,137</u>

- A. As of December 31, 2022 and 2021, the Company had 378 and 418 employees, respectively. There were both 7 directors who have not served as employees as of December 31, 2022 and 2021.
- B. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- C. (a) Average employee benefit expense in 2022 and 2021 were \$842 and \$887, respectively.
(b) Average employee salaries in 2022 and 2021 were \$703 and \$752, respectively. The change in the average employee salaries and wages adjustment was a reduction of 6.52%
- D. The Company has no supervisors' remuneration as it has set up an audit committee.
- E. (a) For the year ended December 31, 2021, employees' compensation was accrued at \$19,805; directors' remuneration was accrued at \$5,941. The aforementioned amounts were recognised in salary expenses.
(b) For the year ended December 31, 2022, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
(c) Employees' compensation and directors' remuneration for 2021 as resolved by the Board of Directors were in agreement with the amounts recognised in the 2021 financial statements. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

F. The Company's compensation policy for directors, managers and employees is described as follows:

Director

The remuneration of directors shall be determined by the board of directors at the usual level of the trade, taking into account their participation in the operations of the Company and the value of their contributions.

Directors' remuneration: when the Company makes profits, it shall be paid to the director in accordance with the Company's Articles of Incorporation (not more than 3%).

Directors' attendance fee: payable to a director for the number of times he or she personally attends board meetings, compensation committees, audit committees and other functional committees.

Manager

The remuneration of the Company's managers shall be assessed by the remuneration committee and submitted to the board of directors for resolution based on their positions, contributions and the Company's business performance in that year.

Employee

To maintain overall pay competitiveness, the Company conducts annual pay surveys to measure the pay level in the market and take into account the Company's operational performance and future development. Implement the performance-oriented policy and give differentiated rewards according to individual performance to reward the contributions of colleagues

(27) Income tax

A. Components of income tax benefit

	Years ended December 31,	
	2022	2021
Current tax:		
Current tax for the year	\$ 39,116	\$ 25,554
Prior year income tax under (over) estimation	446	(357)
Total current tax	39,562	25,197
Deferred tax:		
Origination and reversal of temporary differences	(55,041)	(30,407)
Income tax benefit	(\$ 15,479)	(\$ 5,210)

B. Reconciliation between income tax benefit and accounting profit

	Years ended December 31,	
	2022	2021
Tax calculated based on profit before tax and statutory tax rate	(\$ 12,944)	\$ 34,460
Expenses disallowed by tax regulation	2,902	-
Taxable loss not recognised as deferred tax assets	9,590	-
Change in assessment of realisation of deferred tax assets	(55,041)	(30,407)
Withholding tax on overseas royalties	3,537	3,979
Subsidiaries' repatriation of earnings withholding tax	36,031	21,575
Prior year income tax under (over) estimation	446	(357)
Others	-	(34,460)
Income tax expense	(\$ 15,479)	(\$ 5,210)

C. Amounts of deferred tax assets or liabilities as a result of temporary differences and tax losses are as follows:

	2022		
	January 1	Recognised in profit or loss	December 31
— Deferred tax assets:			
Temporary differences:			
Loss on inventory	\$ 2,049	\$ 2,527	\$ 4,576
Unrealised impairment loss	787	1,522	2,309
Unrealised gain from disposal of property, plant and equipment	2,443	(674)	1,769
Others	1,263	(786)	477
	<u>6,542</u>	<u>2,589</u>	<u>9,131</u>
— Deferred tax liabilities:			
Temporary differences:			
Unrealised exchange gain	-	(28)	(28)
Gain on foreign investment accounted for under the equity method	(346,056)	52,480	(293,576)
	<u>(346,056)</u>	<u>52,452</u>	<u>(293,604)</u>
	<u>(\$ 339,514)</u>	<u>\$ 55,041</u>	<u>(\$ 284,473)</u>

		2021		
		January 1	Recognised in profit or loss	December 31
— Deferred tax assets:				
Temporary differences:				
Loss on inventory	\$	1,319	\$ 730	\$ 2,049
Unrealised impairment loss		807	(20)	787
Unrealised gains from disposal of property, plant and equipment		2,675	(232)	2,443
Others		1,761	(498)	1,263
		<u>6,562</u>	<u>(20)</u>	<u>6,542</u>
— Deferred tax liabilities:				
Temporary differences:				
Gain on foreign investment accounted for under the equity method	(	376,483)	30,427	(346,056)
	<u>(\$</u>	<u>369,921)</u>	<u>\$ 30,407</u>	<u>(\$ 339,514)</u>

D. Expiration dates of unused tax losses and amounts of unrecognised deferred tax assets are as follows:

December 31, 2022				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Expiry year
2017	\$ 88,762	\$ 87,638	\$ 87,638	2027
2018	122,950	122,950	122,950	2028
2019	126,460	126,460	126,460	2029

December 31, 2021				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Expiry year
2016	\$ 159,706	\$ 24,473	\$ 24,473	2026
2017	88,762	88,762	88,762	2027
2018	122,950	122,950	122,950	2028
2019	126,460	126,460	126,460	2029

E. The Company's income tax returns through 2020 have been assessed and approved by the Tax Authority.

(28) (Loss) earnings per share

Year ended December 31, 2022			
	Loss for the year	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 49,240)	89,263	(\$ 0.55)
Year ended December 31, 2021			
	Profit for the year	Weighted average number of ordinary shares outstanding (shares in thousands)	Earnings per share (in dollars)
<u>Basic earnings per share</u>			
Profit attributable to the parent	\$ 177,512	89,263	\$ 1.99
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 177,512	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	752	
	\$ 177,512	90,015	\$ 1.97

(29) Supplemental cash flow information

Investing activities with partial cash payments:

Years ended December 31,		
	2022	2021
Purchase of property, plant and equipment	\$ 13,276	\$ 27,694
Add: Opening balance of payable on equipment	2,173	1,749
Opening balance of payable on construction	577	-
Less: Ending balance of payable on equipment	- (	2,173)
Ending balance of payable on construction	- (	577)
Change in prepayments for equipment	(2,474)	-
Cash paid during this year	\$ 13,552	\$ 26,693

(30) Changes in liabilities from financing activities

	2022				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 295,000	\$ 509,371	\$ 14,938	\$ 800	\$ 820,109
Changes in cash flow from financing activities	(240,000)	(40,371)	(4,673)	-	(285,044)
Changes in other non-cash items	-	-	(6,704)	-	(6,704)
At December 31	<u>\$ 55,000</u>	<u>\$ 469,000</u>	<u>\$ 3,561</u>	<u>\$ 800</u>	<u>\$ 528,361</u>
	2021				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 1,098,000	\$ 241,743	\$ 124,622	\$ 600	\$ 1,464,965
Changes in cash flow from financing activities	(803,000)	267,628	(116,125)	200	(651,297)
Changes in other non-cash items	-	-	6,441	-	6,441
At December 31	<u>\$ 295,000</u>	<u>\$ 509,371</u>	<u>\$ 14,938</u>	<u>\$ 800</u>	<u>\$ 820,109</u>

7. Related Party Transactions

(1) Names of related parties and relationship

Names of related parties	Relationship with the Group
eBio Technology Inc.	Other related party
Shin Zu Shing Co., Ltd.	Other related party
Suzhou Jochu Precision Metal Co., Ltd. (SUZHOU JOCHU)	Subsidiary
Jochu Technology (Xiamen) Ltd. (XIAMEN JOCHU)	Subsidiary
LEGIUN Technology Co., Ltd. (LEGIUN)	Subsidiary

(2) Significant related party transactions

A. Operating revenue:

	Year ended December 31,	
	2022	2021
Sales of goods:		
Subsidiaries	\$ 337	\$ 491
Other related parties	560	-
	<u>\$ 897</u>	<u>\$ 491</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Purchases

	Year ended December 31,	
	2022	2021
Subsidiaries	\$ 13,060	\$ 7,666

The terms of purchases between the Company and related parties are not materially different from those for non-related parties, and purchases from related parties are subject to the Company's transfer pricing policy.

C. Lease transactions-lessor

Rental income

	Year ended December 31,	
	2022	2021
Subsidiaries	\$ 1,196	\$ 704

The rental income from the plant and office in Neihu, Taipei leased to the subsidiary is included in other income.

D. Lease transactions-lessee

(a) Since March 26, 2022, the Company leases buildings and parking spaces from other related parties. Rental contracts are made for periods from March 26, 2022 to December 31, 2022. Rents, administration expenses and reimbursed expenses to other related parties are paid on a monthly basis.

(b) Rent expense, administration expense and reimbursed expense

	Year ended December 31,	
	2022	2021
Other related parties	\$ 14,547	\$ -

E. Royalty income

	Year ended December 31,	
	2022	2021
Subsidiaries	\$ 35,367	\$ 39,796

The Company provides technical services to subsidiary and recognises licensing income, shown under other income.

C. Payables to related parties

	December 31, 2022	December 31, 2021
Accounts payable:		
Subsidiaries	\$ 7,158	\$ 4,536
Other payables:		
Other related parties	\$ 249	\$ -

(a) In order to meet the needs of customers, the Company accepts orders from customers on behalf of the related companies, and then the related companies directly deliver the goods to customers after manufacturing, and bear the inventory risk and provide after-sales service.

(b) The other payables to other related parties pertains to accrued utilities expense.

D. Contract liabilities

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Other related parties	<u>\$ 3,000</u>	<u>\$ -</u>

The contract liabilities to other related parties represents unearned sales revenue.

E. Loans to /from related parties:

(a) Loans to related parties:

i. Outstanding balance:

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Subsidiaries	<u>\$ -</u>	<u>\$ 10,000</u>

ii. Interest income

	<u>Year ended December 31,</u>	
	<u>2022</u>	<u>2021</u>
Subsidiaries	<u>\$ 68</u>	<u>\$ 121</u>

The Company provided a secured loan to a subsidiary at an interest rate of 1.275%, and the loan is reported under other receivables - related parties. Interest receivable from the loan has been collected.

(3) Key management compensation

	<u>Years ended December 31,</u>	
	<u>2022</u>	<u>2021</u>
Short-term employee benefits	\$ 17,121	\$ 25,395
Post-employment benefits	564	599
	<u>\$ 17,685</u>	<u>\$ 25,994</u>

8. Pledged Assets

The Company's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>		<u>Purpose</u>
	<u>December 31, 2022</u>	<u>December 31, 2021</u>	
Financial assets at amortised cost - current	\$ -	\$ 10,000	Bank secured borrowings and customs guarantee
Property, plant, and equipment			
Land	273,059	273,059	Bank secured borrowings
Buildings and structures	157,453	172,850	Bank secured borrowings
Machinery and equipment	-	78,339	Bank secured borrowings
Other non-current assets			
Guarantee deposits paid	4,134	3,481	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

- (1) The Company has signed a 5-year production and sales contract with a customer in December 2016 to provide the customer with a steady supply of a certain quantity of household metal products that meet the quality requirements every year from 2018 to 2022.
- (2) As of December 31, 2022, the Company had opened unused letters of credit for importing inventories and equipment of \$31,841.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

- (1) On December 23, 2022, the Board of Directors of the Company resolved to sign a plant lease contract with Shin Zu Shing Co., Ltd. The contract covers the period from January 1, 2023 to December 31, 2023, and the Company had the priority leasing right upon expiration. The Company assessed the amount of right-of-use assets based on the 3-year medium-term operation plan and plans to acquire right-of-use assets amounting to \$44,436.
- (2) On February 17, 2023, the Board of Directors of the Company resolved to increase its investment in eBio International Co., Ltd. and plans to acquire additional shares up to 6,200 thousand shares. The ceiling on the investment increase amounted to \$68,200.

12. Others

(1) Capital management

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Company consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Company (comprising issued capital, reserves, retained earnings and other equity). The Company is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
<u>Financial assets</u>		
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 14,935	\$ 408
Financial assets at fair value through other comprehensive income	-	11,700
Financial assets at amortised cost		
Cash and cash equivalents	434,836	799,356
Financial assets at amortised cost (current and non-current)	-	10,000
Notes receivable, net	3,431	3,926
Accounts receivable, net	175,706	109,196
Accounts receivable-related party	25	6
Other receivables	6,158	5,459
Other receivables-related party	-	10,000
Guarantee deposits paid	4,134	3,481
	<u>\$ 639,225</u>	<u>\$ 953,532</u>
	<u>December 31, 2022</u>	<u>December 31, 2021</u>
<u>Financial liabilities</u>		
Financial liabilities at amortised cost		
Short-term borrowings	55,000	295,000
Accounts payable	129,400	193,269
Accounts payable-related party	7,158	4,536
Other payables	86,050	130,435
Other payables-related party	249	-
Long-term borrowings (including current portion)	469,000	509,371
Guarantee deposits received	800	800
	<u>\$ 747,657</u>	<u>\$ 1,133,411</u>
Lease liabilities (current and non-current)	<u>\$ 3,561</u>	<u>\$ 14,938</u>

B. Financial risk management policies

- (a) The Company's major financial instruments included equity investments, accounts receivable, accounts payable, and bank borrowings. The Company's Corporate Treasury function provides services to the business, coordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Company through internal risk reports which analyse exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.

- (b) The Company sought to minimise the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of financial derivatives was governed by the Company's policies approved by the board of directors, which provided written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits was reviewed by the internal auditors on a continuous basis. The Company did not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Company engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Company manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Company's businesses involve some non-functional currency operations (the Company's functional currency: NTD). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

December 31, 2022			
	Foreign currency amount (In thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 8,773	30.71	\$ 269,419
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	578	30.71	17,750

December 31, 2021			
	Foreign currency amount (In thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 4,249	27.68	\$ 117,612
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	621	27.68	17,189

Above information excludes unrealised profit or loss from transactions with subsidiaries.

- iii. Total exchange gains (losses), including realised and unrealised, arising from significant foreign exchange variation on the monetary items held by the Company for the years ended December 31, 2022 and 2021, amounted to \$2,827 and (\$1,260), respectively.
- iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Year ended December 31, 2022			
Sensitivity analysis			
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	1%	\$ 2,694	\$ -
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	1%	178	-

Year ended December 31, 2021			
Sensitivity analysis			
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	1%	\$ 1,176	\$ -
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	1%	172	-

Cash flow and fair value interest rate risk

- i. The Company's main interest rate risk arises from long-term borrowings with variable rates, which expose the Company to cash flow interest rate risk. During 2022 and 2021, the Company's borrowings at variable rate were mainly denominated in New Taiwan dollars.
- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the years ended December 31, 2022 and 2021 would have increased/decreased by \$4,690 and \$5,094, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. As at the end of the reporting period, the Company's maximum exposure to credit risk which will cause a financial loss to the Company due to default by the counterparties and financial guarantees provided by the Company arises from:
 - (i) The carrying amount of the respective recognised financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Company.
- ii. In order to mitigate the credit risk, the Company will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Company will use other publicly available financial information and mutual transaction records to rate key customers. The Company will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Company reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Company's management believes that the Company's credit risk has been significantly reduced.
- iii. The Company adopts following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Company cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Company considers that the counterparty has signs of default.

- v. The Company wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Company will continue executing the recourse procedures to secure their rights.
- vi. The Company applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Company's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Company used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On December 31, 2022 and 2021, the provision matrix is as follows:

<u>December 31, 2022</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 151,121	\$ -
Up to 90 days	0%	24,585	-
		<u>\$ 175,706</u>	<u>\$ -</u>
<u>December 31, 2021</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 102,703	\$ -
Up to 90 days	0%	6,493	-
		<u>\$ 109,196</u>	<u>\$ -</u>

- viii. Movements in relation to the Company applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2022</u>
At January 1 (same as December 31)	\$ -
	<u>2021</u>
At January 1	\$ 2,555
Write-offs	(2,555)
At December 31	<u>\$ -</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Company and aggregated by the Company's Corporate Treasury function. The Company's Corporate Treasury function monitors rolling forecasts of the Company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Company does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Company's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Company has the following undrawn borrowing facilities:

	<u>December 31, 2022</u>	<u>December 31, 2021</u>
Floating rate:		
Expiring within one year	\$ 1,296,579	\$ 1,202,720
Expiring beyond one year	-	-
Fixed rate:		
Expiring within one year	\$ -	\$ -
Expiring beyond one year	-	-

iii. The table below analyses the Company's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

<u>December 31, 2022</u>	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 55,077	\$ -	\$ -	\$ -
Accounts payable	129,400	-	-	-
Accounts payable-related parties	7,158	-	-	-
Other payables	86,050	-	-	-
Other payables-related parties	249	-	-	-
Lease liabilities	931	931	1,785	-
Long-term borrowings (including current portion)	69,915	169,022	206,019	61,398
Guarantee deposits received	800	-	-	-
<u>December 31, 2021</u>	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 295,836	\$ -	\$ -	\$ -
Accounts payable	193,269	-	-	-
Accounts payable-related parties	4,536	-	-	-
Other payables	130,435	-	-	-
Lease liabilities	11,649	887	2,587	-
Long-term borrowings (including current portion)	45,951	67,141	300,134	126,435
Guarantee deposits received	800	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Company has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Company's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Company's investment in equity investment without active market is included in Level 3.

B. Information relating to investments accounted for under equity method and investment property is provided in Note 6(7) and Note 6(10).

C. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable-related parties, other receivables (including related parties), guarantee deposits paid, short-term borrowings, notes payable, accounts payable (including related parties), other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

D. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

<u>December 31, 2022</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through				
profit or loss				
Forward foreign exchange contracts	\$ -	\$ 2,475	\$ -	\$ 2,475
Private equity fund	-	-	12,460	12,460
	<u>\$ -</u>	<u>\$ 2,475</u>	<u>\$ 12,460</u>	<u>\$ 14,935</u>

December 31, 2021	Level 1	Level 2	Level 3	Total
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 408	\$ -	\$ 408
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	11,700	11,700
	<u>\$ -</u>	<u>\$ 408</u>	<u>\$ 11,700</u>	<u>\$ 12,108</u>

(b) The methods and assumptions the Company used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Company adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
- iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Company's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Company's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the years ended December 31, 2022 and 2021, there was no transfer between Level 1 and Level 2.

E. The following chart is the movement of Level 3 for the years ended December 31, 2022 and 2021:

	Equity instrument	
	2022	2021
At January 1	\$ 11,700	\$ 8,890
Gain or loss recognized in other comprehensive income	-	(8,890)
Acquired during the period	-	11,700
Transfers out from level 3	(11,700)	-
At December 31	<u>\$ -</u>	<u>\$ 11,700</u>

	Private equity fund	
	2022	
At January 1	\$	-
Acquired during the period		12,000
Recognised in profit or loss		460
At December 31	<u>\$</u>	<u>12,460</u>

F. Information relating to transfer out amounting to \$11,700 from Level 3 for the year ended December 31, 2022 is provided in Note 6(7). For the year ended December 31, 2021, there was no transfer into or out from Level 3.

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	December 31, 2022	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Private equity fund	\$ <u>12,460</u>	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	December 31, 2021	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	\$ <u>11,700</u>	Discounted cash flow	Long-term revenue growth rate, weighted average cost of capital, long-term pre- tax operating margin, discount for lack of marketability, discount for lack of control	Not applicable	The higher the weighted average cost of capital and discount for lack of control, the lower the fair value; the higher the long-term revenue growth rate and long-term pre-tax operating margin, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: None.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 2.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Acquisition of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- F. Disposal of real estate reaching \$300 million or 20% of paid-in capital or more: None.

G. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.

H. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.

I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(23) and 12(2).

J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 3.

(3) Information on investments in Mainland China

A. Basic information: Refer to table 4.

B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 5.

14. Segment Information

None.

JOCHU TECHNOLOGY CO., LTD.
Loans to others
Year ended December 31, 2022

Table 1

Expressed in thousands of NTD
(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum outstanding balance during the year ended	Balance at December 31, 2022	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
					December 31, 2022	(Note 2)							Item	Value			
0	The Company	LEGIUN	Other receivables - related parties	Yes	\$ 15,000	\$ -	\$ -	-	-	\$ -	-	-	-	\$ -	\$ 558,591	\$ 1,117,182	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD.
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
December 31, 2022

Table 2

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of December 31, 2022				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Preferred shares of I Company	-	Financial assets at fair value through other comprehensive income- non-current	0.125	\$ -	-	\$ -	JPY -
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,071	-	3,071	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	921	-	921	USD 30
The Company	Ordinary shares of F Company	-	Financial assets at fair value through profit or loss- non-current	-	12,460	3%	12,460	

Table 3

JOCHU TECHNOLOGY CO., LTD.
Information on investees
Year ended December 31, 2022

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2022			Net profit (loss)	Investment income (loss)	Footnote
				Balance as at	Balance as at	Number of shares	Ownership (%)	Book value	of the investee for	recognised by the Company	
				December 31, 2022	December 31, 2021				the year ended	for the year ended	
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 957,549	\$ 957,549	30,565	100%	\$ 2,312,527	\$ 97,915	\$ 106,070	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	30,000	8,000	100%	48,213 (	7,311) (	6,657)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	For medical electronics related R&D and manufacturing, biomedical sensors, design and integration of health care systems business	11,700	-	900	9.81%	8,442 (	28,048) (	2,751)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	613,374	56,129	56,129	
JOCHU BVI	PIH	Singapore	Investment holding	286,858	286,858	9,848	65%	274,807 (	19,744) (	12,834)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	613,374	56,129	56,129	
PIH	JOCHU VIETNAM	Vietnam	Sales of optoelectronic components, stamping molds, and related international trading business	437,133	437,133	Not applicable	100%	420,249 (	19,031) (	19,031)	

JOCHU TECHNOLOGY CO., LTD.
Information on investments in Mainland China
Year ended December 31, 2022

Table 4

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated	Amount remitted from Taiwan		Accumulated	Net income of investee for the year ended December 31, 2022	Ownership held by the Company (direct or indirect)	Investment income	Book value of investments in Mainland China as of December 31, 2022	Accumulated	Footnote
				amount of remittance from Taiwan to Mainland China as of January 1, 2022	to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2022	amount of remittance from Taiwan to Mainland China as of December 31, 2022	(loss) recognised by the Company for the year ended December 31, 2022 (Note 2)			amount of investment income remitted back to Taiwan as of December 31, 2022			
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)A	\$ 367,541	\$ -	\$ -	\$ 367,541	\$ 55,012	100%	\$ 55,012	\$ 1,408,062	\$ 1,160,412	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)B	328,912	-	-	328,912	84,128	100%	84,128	920,007	324,186	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of December 31, 2022	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,675,774

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

(1) Directly invest in a company in Mainland China.

(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.

A. Invested through Jochu Investment Ltd.

B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.

(3) Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the year ended December 31, 2022’ column:

(1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.

(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:

A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.

B.The financial statements were audited by R.O.C. parent company’s CPA.

C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD.

Major shareholders information

December 31, 2022

Table 5

Name of major shareholders	Shares		
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	Ownership (%)
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%
China Development Capital Co., L td.	4,746,720	-	5.31%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.

The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%)= Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF CASH AND CASH EQUIVALENTS
DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 1

Item	Description				Amount
Cash on hand and petty cash					\$ 150
Checking accounts and demand deposits					
- New Taiwan Dollar					185,479
- Foreign currency	USD	858,588.54	rate	30.71	26,367
Time deposits					
- New Taiwan Dollar					100,000
- Foreign currency	USD	4,000,000.00	rate	30.71	122,840
					<u>\$ 434,836</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF ACCOUNTS RECEIVABLE
DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 2

Client Name	Amount	Note
Client:		
Company A	\$ 58,966	
Company B	52,066	
Company C	14,598	
Company D	11,091	
Company E	11,377	
Others	27,608	Each individual customer balance did not exceed 5% of the account balance
	<u>175,706</u>	
Less: Allowance for bad debts	<u>-</u>	
	<u>\$ 175,706</u>	
Related parties:		
LEGIUN Technology Co., Ltd.	<u>\$ 25</u>	

JOCHU TECHNOLOGY CO., LTD.

DETAILS OF INVENTORIES

DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 3

Item	Amount		Note
	Cost	Net Realizable Value	
Raw materials	\$ 27,800	\$ 15,436	
Work in process	4,443	5,167	
Semi-finished goods	33,149	28,530	
Finished goods	85,961	90,597	
	151,353	139,730	
Less: Allowance for inventory valuation loss	(22,876)	-	
	<u>\$ 128,477</u>	<u>\$ 139,730</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF INVESTMENTS ACCOUNTED FOR UNDER THE EQUITY METHOD
FOR THE YEAR ENDED DECEMBER 31, 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 4

Name	Beginning Balance		Addition		Decrease		Increase In Amount Under the		Realized (Unrealized)	Exchange	Ending Balance		Net Asset Value	Valuation technique	Collateral or Pledge
	Shares	Amount	Shares	Amount	Shares	Amount	Equity Method	Impairment Loss	Gain or Loss on Transactions With Subsidiaries	Differences on Translation of Foreign Operations	Shares	Percentage of Ownership	Amount		
JOCHU INVESTMENT LTD.	30,565	\$ 2,511,301	-	\$ -	-	(\$ 360,314)	\$ 97,915	\$ -	\$ 3,168	\$ 60,457	30,565	100%	\$ 2,312,527	\$ 2,320,715	Equity Method
LEGIUN TECHNOLOGY CO., LTD.	3,000	5,322	5,000	50,000	-	-	(7,311)	-	202	-	8,000	100%	48,213	48,867	"
eBIO INTERNATIONAL CO., LTD	-	-	900	11,700	-	-	(2,751)	(507)	-	-	900	9.81%	8,442	84	"
		<u>\$ 2,516,623</u>		<u>\$ 61,700</u>		<u>(\$ 360,314)</u>	<u>\$ 87,853</u>	<u>(\$ 507)</u>	<u>\$ 3,370</u>	<u>\$ 60,457</u>			<u>\$ 2,369,182</u>		

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF PROPERTY, PLANT AND EQUIPMENT
FOR THE YEAR ENDED DECEMBER 31, 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 5

Refer to Note 6(8) Property, plant and equipment for details.

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF ACCOUNTS PAYABLE
DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 6

Supplier Name	Amount	Note
Client:		
Company F	\$ 69,081	
Company G	9,774	
Company H	7,324	
Others	43,221	Each individual supplier balance did not exceed 5% of the account balance
	<u>\$ 129,400</u>	
Related parties:		
JOCHU TECHNOLOGY (XIAMEN) LTD.		
SUZHOU JOCHU PRECISION	\$ 4,500	
METAL CO., LTD.	2,658	
	<u>\$ 7,158</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF LONG-TERM BORROWINGS
DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 7

Refer to Note 6(14) Long-term borrowings for details.

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OTHER PAYABLES
DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 8

Item	Amount	Note
Salaries and bonus payable	\$ 53,447	
Insurance payable	5,808	
Freights charges payable	2,554	
Others	24,241	Each individual payable balance did not exceed 5% of the account balance
	<u>\$ 86,050</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING REVENUE
FOR THE YEAR ENDED DECEMBER 31, 2022
 (Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 9

Item	Volume	Amount
Furniture components	8,439	\$ 805,030
Medical supplies	474	193,267
Optoelectronic components	751	56,844
		<u>\$ 1,055,141</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING COSTS
FOR THE YEAR ENDED DECEMBER 31, 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 10

Item	Amount Total
Raw materials - beginning of year	\$ 34,750
Add: Raw material purchase	614,976
Others (transferred to cost of goods sold)	364
Less: Raw materials - end of year	(27,800)
Materials consumed	622,290
Direct labor	57,809
Manufacturing overhead	203,396
Manufacturing costs	883,495
Add: Work in process - beginning of year	31,314
Purchase	118,606
Less: Others (transferred to expense)	(167)
Work in process - end of year	(37,592)
Cost of finished goods	995,656
Add: Finished goods - beginning of year	71,499
Purchase	49,400
Less: Others (transferred to expense)	(69,251)
Finished goods - end of year	(85,961)
Cost of finished goods sold	961,343
Loss on disposal of inventory	375
Loss on decline in market value	12,634
Revenue from sale of scraps	(13,825)
Cost of goods sold	\$ 960,527

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF MANUFACTURING EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2022

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 11

Item	Description	Amount
Salaries and wages		\$ 62,169
Depreciation		66,088
Processing service fee		10,584
Utilities		12,553
Others		52,002
		<u>\$ 203,396</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 12

Item	Selling and marketing expenses	General and administrative expenses	Research and development expenses	Total
Payroll expenses	\$ 20,562	\$ 106,633	\$ 23,496	\$ 150,691
Freight	12,708	60	105	12,873
Professional service fee	390	8,771	1,418	10,579
Insurance expenses	2,118	11,464	2,348	15,930
Rental expenses	-	5,509	120	5,629
Amortization	-	9,205	1,586	10,791
Pension	1,062	5,443	1,245	7,750
Utilities expenses	30	1,324	38	1,392
Depreciation	156	8,816	1,498	10,470
Others	4,619	31,968	5,032	41,619
	<u>\$ 41,645</u>	<u>\$ 189,193</u>	<u>\$ 36,886</u>	<u>\$ 267,724</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF EMPLOYEE BENEFITS, DEPRECIATION AND AMORTIZATION EXPENSES BY
FUNCTION
FOR THE YEAR ENDED DECEMBER 31, 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

Sheet 13

Refer to Note 6(25) Expenses by nature and Note 6(26) Employee benefit expense for details.